CHAPTER – 7

Company Accounts - Share Capital / Issue of Share Capital

A Company means company which is formed and incorporated under the Companies Act, 2013 or an existing company formed and registered under any of the previous company laws. A company is an artificial person created by law, having separate legal entity with a perpetual succession and a common seal.

FEATURES OF A COMPANY:

1. **Incorporated Association**: A company comes into existence through the operation of law. Therefore, incorporation of company under the Companies Act is must. Without such registration, no company can come into existence. Being created by law, it is regarded as an artificial legal person.

2. **Separate Legal Entity**: A company has a separate legal entity and is not affected by changes in its membership. Therefore, being a separate business entity, a company can contract, sue and be sued in its incorporated name and capacity.

3. **Perpetual Existence**: Since company has existence independent of its members, it continues to be in existence despite the death, insolvency or change of members.

4. **Common Seal**: It is the official signature of a Company. The Company's name is engraved on the Seal. The Articles of Association may provide for the documents that require the signature of the Company, i.e. the Common Seal. Where any document is affixed with the Common Seal, it amounts to being signed by the Company. Now, use of common seal has been made optional. All such documents which required affixing the common seal may now instead be signed by two directors or one director and a company secretary of the company.

5. **Limited Liability**: The liability of every shareholder of a company is limited to the amount he has agreed to pay to the company on the shares allotted to him. If such shares are fully paid-up, he is subject to no further liability.

6. **Distinction between Ownership and Management**: Since the number of shareholders is very large and may be distributed at different geographical locations, it becomes difficult for them to carry on the operational management of the company on a day-to-day basis. This gives rise to the need of separation of the management and ownership.

7. **Not a citizen**: A company is not a citizen in the same sense as a natural person is, though it is created by the process of law. It has a legal existence but does not enjoy the citizenship rights and duties as are enjoyed by the natural citizens.

8. **Transferability of Shares**: The capital is contributed by the shareholders through the subscription of shares. Such shares are transferable by its members except in case of a private limited company, which may have certain restrictions on such transferability.

9. **Maintenance of Books**: A limited company is required by law to keep a prescribed set of account books and any failure in this regard attracts penalties.

10. **Periodic Audit**: A company has to get its accounts periodically audited through the chartered accountants appointed for the purpose by the shareholders on the recommendation of board of directors.

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11. **Right of Access to Information**: The right of the shareholders of a company to inspect its books of account, except for books open for inspection under the Statute, is governed by the Articles of Association. The shareholders have a right to seek information from the directors by participating in the meetings of the company and through the periodic reports.

TYPES OF COMPANIES:

1. Government Company

According to Section 2(45) of the Companies Act, 2013, "Government company" means any company in which not less than fifty-one per cent of the paid-up share capital is held by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, and includes a company which is a subsidiary company of such a Government company.

2. Foreign Company

According to Section 2 (42) of the Companies Act, 2013, "Foreign company" means any company or body corporate incorporated outside India which –

a) Has a place of business in India whether by itself or through an agent physically or through electronic mode; and
b) Conducts any business activity in India in any other manner.

3. Private Company

Section 2(68) of the Companies Act, 2013 defines 'Private company' as a company which by its articles,

(i) Restrict the right to transfer its shares;
(ii) Except in case of One Person Company limits the number of its members to two hundred:

Provided that where two or more persons hold one or more shares in a company jointly, they shall, for the purposes of this sub-clause, be treated as a single member:

Provided further that—

(A) Persons who are in the employment of the company; and
(B) persons who, having been formerly in the employment of the company, were members of the company while in that employment and have continued to be members after the employment ceased, shall not be included in the number of members; and

(iii) Prohibits any invitation to the public to subscribe for any securities of the company. Shares of a Private Company are not listed on Stock Exchange.

4. Public Company

Section 2(71) of the Companies Act, 2013 defines Public Company as a company which—

(a) is not a private company; and
(b) has a minimum paid-up share capital as may be prescribed:

Provided that a company which is a subsidiary of a company, not being a private company, shall be deemed to be public company for the purposes of this Act even where such subsidiary company continues to be a private company in its articles;

A company which is a listed public company if it gets unlisted continues to be a public company.

No Minimum Paid-up Share Capital: The minimum paid-up share capital requirement of INR 1,00,000 (in case of a private company) and INR 5,00,000 (in case of a public company) has been done away with under Companies Act, 2013. Accordingly, no minimum paid-up capital requirements will now apply for incorporating private as well as public companies in India.

5. One Person Company

Section 2 (62) of the Companies Act, 2013 defines "One Person Company" as a company which has only one person as a member.

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6. Small Company

Section 2(85) of the Companies Act, 2013 defines "Small company" means a company, other than a public company

(i) paid-up share capital of which does not exceed four crores rupees or such higher amount as may be prescribed which shall not be more than ten crore rupees; and

(ii) turnover of which as per its last profit and loss account for the immediately preceding financial year does not exceed forty crore rupees or such higher amount as may be prescribed which shall not be more than hundred crore rupees:

Provided that nothing in this clause should apply to:

(A) a holding company or a subsidiary company

(B) a company registered under section 8

(C) a company or body corporate governed by any special Act

7. Listed Company

As per Section 2 (52) of the Companies Act, 2013,"listed company" means a company which has any of its securities listed on any recognised stock exchange.

The company, whose shares are not listed on any recognised stock exchange, is called ''Unlisted Company''. An unlisted company can be a public company or a private company.

8. Unlimited Company

Section 2 (92) of the Companies Act, 2013 defines "Unlimited company" means a company not having any limit on the liability of its members.

9. Company limited by Shares

As per Section 2(22) of the Companies Act, 2013, "Company limited by shares" means a company having the liability of its members limited by the memorandum to the amount, if any, unpaid on the shares respectively held by them.

10. Company limited by Guarantee

As per Section 2(21) of the Companies Act, 2013, "company limited by guarantee" means a company having the liability of its members limited by the memorandum to such amount as the members may respectively undertake to contribute to the assets of the company in the event of its being wound up.

11. Holding Company

According to Section 2 (46) of the Companies Act, 2103, "Holding company", in relation to one or more other companies, means a company of which such companies are subsidiary companies.

12. Subsidiary Company

Section 2(87) of the Companies Act, 2013 defines "subsidiary company" as a company in which the holding company:

(i) Controls the composition of the Board of Directors; or

(ii) Exercises or controls more than one-half of the total share capital either at its own or together with one or more of its subsidiary companies.

A company shall be deemed to be a subsidiary company of the holding company even if there is indirect control through the subsidiary company (ies). The control over the composition of a subsidiary company's Board of Directors means exercise of some power to appoint or remove all or a majority of the directors of the subsidiary company.

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Share Capital of a Company

A company, being an artificial person, cannot generate its own capital which has necessarily to be collected from several persons. These persons are known as shareholders and the amount contributed by them is called share capital.
Since the number of shareholders is very large, a separate capital account cannot be opened for each one of them. Hence all the capital contributions are pooled together in a common capital account called as 'Share Capital Account'.

A share is a share in the share capital of the company.

TYPES/CLASSES OF SHARE CAPITAL:

1. Preference Shares: These are the shares that carry two rights - preferential right as to dividend and preferential right as to repayment on winding up.
2. Equity Shares: These are those that do not carry and preferential right. They are subordinate to preference shares in respect of dividend and repayment.

TYPES OF PREFERENCE SHARES

Preference shares can be of various types, which are as follows:

(a) Cumulative Preference Shares: A cumulative preference share is one that carries the right to a fixed amount of dividend or dividend at a fixed rate. Such a dividend is payable even out of future profit if current year's profits are insufficient for the purpose. This means that dividend on these shares accumulates unless it is paid in full and, therefore, the shares are called Cumulative Preference Shares. The companies are required to disclose the arrears of fixed cumulative dividends on preference shares separately in the financial statement. In case, the dividend remains in arrears for a period of not less than two years, holders of such shares will be entitled to take part and vote on every resolution on every matter in the general body meeting of the shareholders.

(b) Non-cumulative Preference Shares: A non-cumulative preference share carries with it the right to a fixed amount of dividend. In case no dividend is declared in a year due to any reason, the right to receive such dividend for that year expires. It implies that holder of such a share is not entitled to arrears of dividend in future.

(c) Participating Preference Shares: Notwithstanding the right to a fixed dividend, this category of preference share confers on the holder the right to participate in the surplus profits, if any, after the equity shareholders have been paid dividend at a stipulated rate. Similarly, in the event of winding up of the company, this type of share carries the right to receive a pre-determined proportion of surplus as well once the equity shareholders have been paid off.

(d) Non-participating Preference Shares: A share on which only a fixed rate of dividend is paid every year, without any accompanying additional rights in profits and in the surplus on winding-up, is called 'Non-participating Preference Shares.' Unless otherwise specified, the preference shares are generally nonparticipating.

(e) Redeemable Preference Shares: These are shares that a company may issue on the condition that the company will repay after the fixed period or even earlier at company's discretion. The repayment on these shares is called redemption and is governed by Section 55 of the Companies Act, 2013.

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(f) Non-redeemable Preference Shares: The preference shares, which do not carry with them the arrangement regarding redemption, are called Nonredeemable Preference Shares. According to Section 55, no company limited by shares shall issue irredeemable preference shares or preference shares redeemable after the expiry of 20 years from the date of issue. However, a Company may issue preference shares redeemable after 20 years for such infrastructure projects as may be specified, under the Companies Act, 2013.

(g) Convertible Preference Shares: These shares give the right to the holder to get them converted into equity shares at their option according to the terms and conditions of their issue.

(h) Non-convertible Preference Shares: When the holder of a preference share has not been conferred the right to get his holding converted into equity share, it is called Non-convertible Preference Shares. Preference shares are nonconvertible unless otherwise stated.

Note: Unless mentioned otherwise Preference Shares are Non-Cumulative, Non-Participating, Non-Convertible and Redeemable in nature.

Categories of Share Capital

1. **Authorized Capital**: Authorized capital is the amount of share capital which a company is Authorized to issue by its Memorandum of Association. The company cannot raise more than the amount of capital as specified in the Memorandum of Association. It is also called nominal or registered capital. It should be noted that the company need not issue the entire Authorized capital for public subscription at a time. It should not be more than the amount of Authorized capital.

2. **Issued Capital**: It is that part of the Authorized capital which is actually issued to the public for subscription including the shares allotted to vendors and the signatories to the company's memorandum. The Authorized capital which is not offered for public subscription is known as 'unissued capital'. Unissued capital may be offered for public subscription at a later date.

3. **Subscribed Capital**: It is that part of the issued capital which has been actually subscribed by the public. It may be noted that ultimately, the subscribed capital and issued capital are the same because if the number of shares, subscribed is less than what is offered, the company can allot only the number of shares for which subscription has been received.

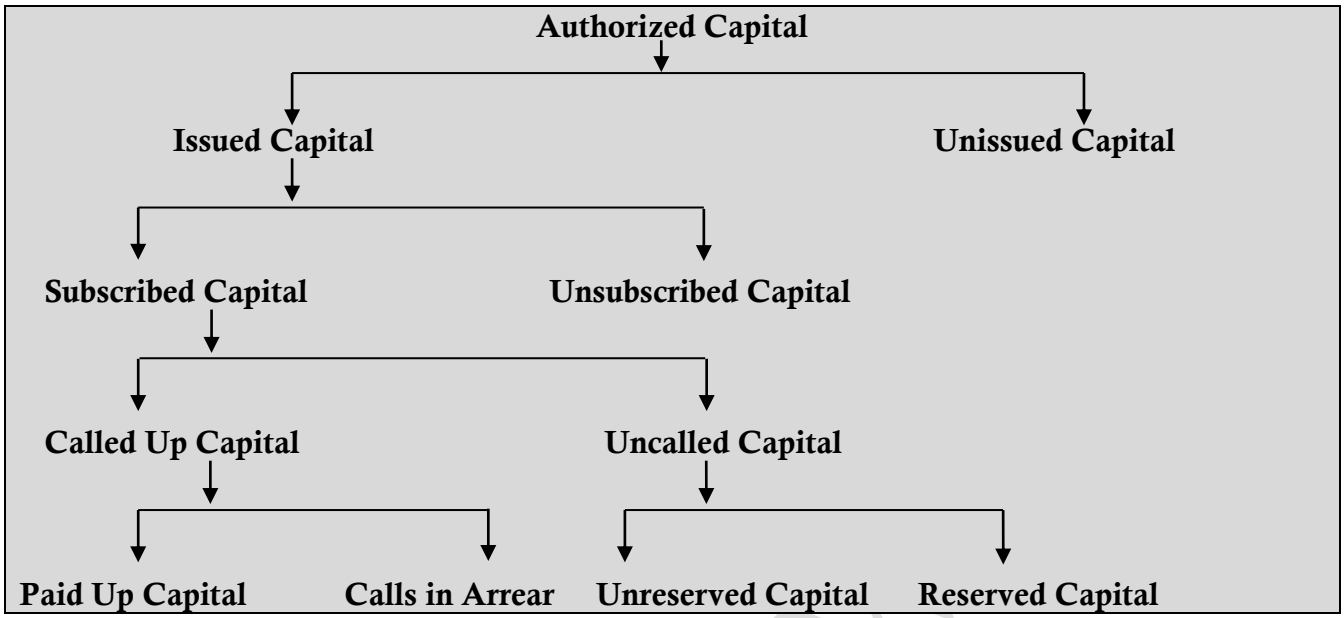
4. **Called-up Capital**: It is that part of the subscribed capital which has been called up on the shares. The company may decide to call the entire amount or part of the face value of the shares. For example, if the face value (also called nominal value) of a share allotted is ₹ 10 and the company has called up only ₹ 7 per share, in that scenario, the called up capital is ₹ 7 per share. The remaining ₹ 3 may be collected from its shareholders as and when needed.

5. **Paid-up Capital**: It is that portion of the called up capital which has been actually received from the shareholders. When the shareholders have paid the entire call amount, the called-up capital is the same to the paid-up capital. If any of the shareholders has not paid amount on calls, such an amount may be called as 'calls in arrears'. Therefore, paid-up capital is equal to the called-up capital minus call-in-arrears.

6. **Uncalled Capital**: That portion of the subscribed capital which has not yet been called-up. As stated earlier, the company may collect this amount any time when it needs further funds.

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7. **Reserve Capital**: A company may reserve a portion of its uncalled capital to be called only in the event of winding up of the company. Such uncalled amount is called 'Reserve Capital' of the company. It is available only for the creditors on winding up of the company.



Stages of Issue and Allotment of Shares

Stage-I: Issue of Prospectus inviting the public for subscription of given number of shares at a certain price.

Stage-II: Receipt of Applications along with application money from public

Stage-III: Allotment of shares on fulfillment of certain conditions of minimum subscription etc. Finally share certificates are issued to all the allottees; thereby making them the shareholders of the company for given number of shares.

Stage-IV: Call Money: The part of share value not earlier called for by the company is subsequently called as and when the company is in need of funds. The calls can be made by the company any number of times and of any amount, however the total amount called cannot exceed the issue price.

Share Issue Price

Shares of a company are issued either **at par, at a premium.**

Shares are said to have been issued at par when their issue price is exactly equal to their nominal value/par value according to the terms and conditions of issue.

When the shares of a company are issued more than its nominal value (face value), the excess amount is called premium and the issue is said to have been made at a premium.

When the shares are issued at a price less than the face value of the share, it is known as shares issued at a discount. A company **cannot issue shares at a discount** except issue of shares to employees as ESOP or sweat equity shares.

Market response to invitation of share issue

When a company invites application from public for subscription of its shares, the response to such issue depends on number of macro/micro economic factors like- economy trend, political scenario, company image/reputation, share issue price, industry situations etc.

As a result of all these factors the response to such issue can be classified into 3 situations:

1. **Full subscription** – It is a situation when the number of shares applied for by the public is exactly equal to the number of shares the company intends to issue. In this case the company goes on to allot the applied shares to each and every applicant in exactly the same numbers applied by them.

2. **Under subscription** – It is a situation when the number of shares applied by the public falls short of the number of share the company intends to issue. Unless 90% of issue is subscribed, the company cannot go ahead with allotment of shares.

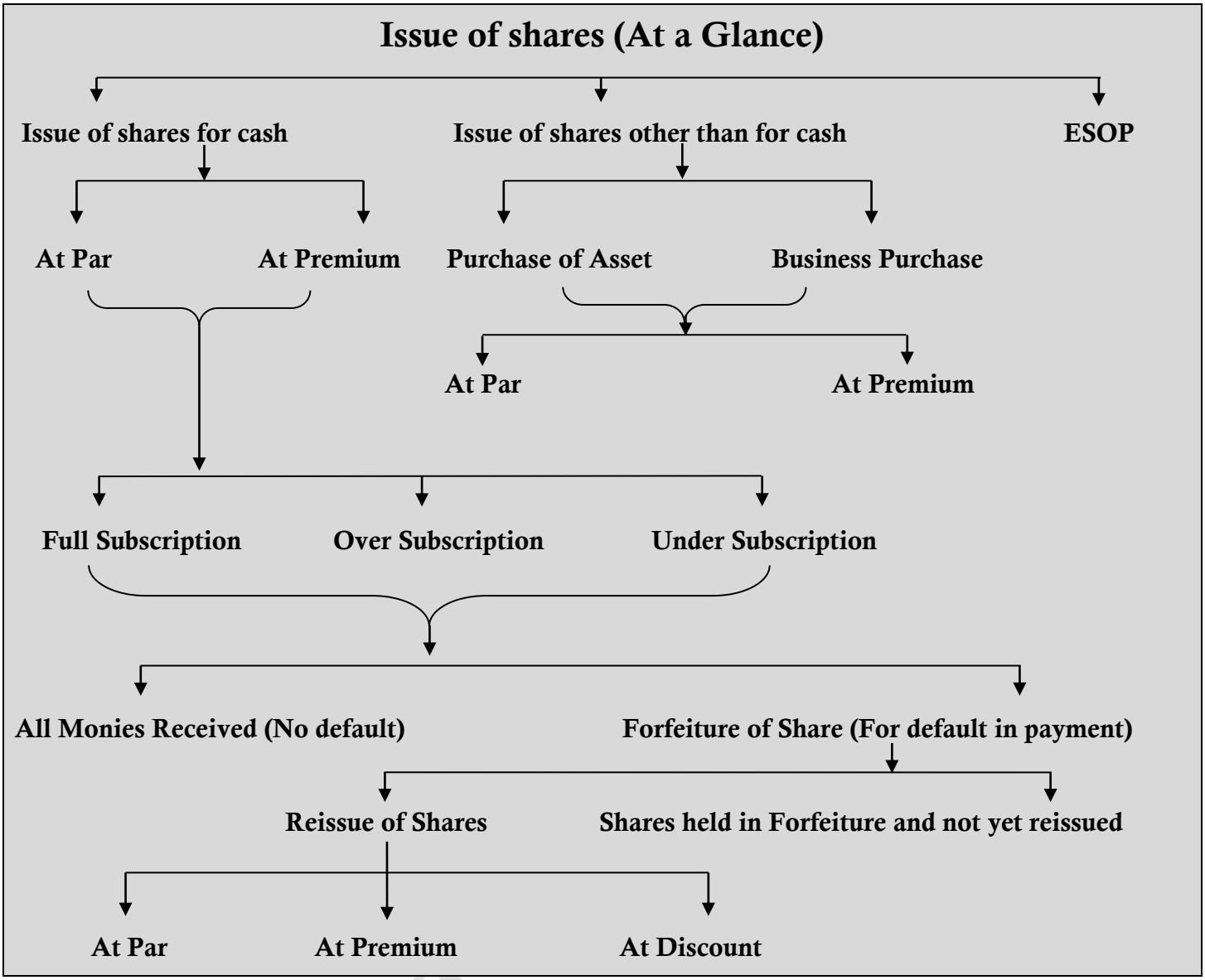
3. **Over subscription** - It is a situation when the number of shares applied for by the public exceeds the number of shares the company intends to issue. It is a favorable situation for the company as it shows the huge number of interested investors. However the company cannot allot shares to each and every shareholder as the company can allot only those number of shares for which it has invited applications.
   Here the company has to make choice (without prejudice to any applicant) as to how the allotment of limited shares to be made. Some of the **alternative strategies** are:
   a. Pro-rata allotment to all
   b. Outright rejection for excess share applications
   c. Some rejections and pro-rata allotment to others
   d. Some rejections, some full allotments and pro-rata allotment to remaining
   e. Or any other combination of above.

Calls in arrear and calls in advance

Calls in arrear: It often happens that shareholders do not pay the call amount when it becomes due. When any shareholder fails to pay the amount due on allotment or on any of the calls, such amount is known as 'Calls-in-Arrears'/'Unpaid Calls'. Calls-in- Arrears represent the debit balance of all the calls account and are shown as a deduction from the paid-up capital on the liabilities side of the balance sheet.

The Articles of Association of a company usually empower the directors to change interest at a stipulated rate on calls in arrears. In case the articles are silent in this regard, the rule contained in Table F shall be applicable which states that the interest at a rate not exceeding 10% p.a. shall have to be paid on all unpaid amounts on shares for the period intervening between the day fixed for payment and the time of actual payment thereon.
On receipt of the call amount together with interest, the amount of interest shall be credited to interest account while call money shall be credited to the respective call account or to calls-in-arrears account.

Calls in Advance: Sometimes some shareholders pay a part or the whole of the amount of the calls not yet made. The amount so received from the shareholders is known as "Calls in Advance". The amount received in advance is a liability of the company and should be credited to 'Call-in-Advance Account." The amount received will be adjusted towards the payment of calls as and when they become due. Table F of the Companies Act provides for the payment of interest on calls in advance at a rate not exceeding 12% per annum.



Issue of shares at Premium (Section 52)

When a share of the nominal value of ₹ 100 is issued at ₹ 105, it is said to have been issued at a premium of 5 per cent.

When the issue of shares is at a premium, the amount of premium may technically be called at any stage of the issue of shares. However, premium is generally called with the amount due on allotment, sometimes with the application money and rarely with the call money. The premium amount is credited to a separate account called 'Securities Premium Account' and is shown on the liabilities side of the company's balance sheet under the heading 'Reserves and Surpluses'.

It can be used only for the following purposes as laid down by Section 52 of The Companies Act 2013:

(a) to issue fully paid bonus shares to an extent not exceeding unissued share capital of the company;
(b) to write-off preliminary expenses of the company;
(c) to write-off share/debenture/securities issue expenses or commission paid, or discount allowed on any of the shares or debentures of the company; and
(d) to pay premium on the redemption of preference shares or debentures of the company.
(e) in buy-back of its own shares by the company.

Issue of shares at Discount (Section 53, 54)

A company shall not issue shares at a discount and any share issued by a company at a discounted price shall be void. However, issued of sweat equity shares is permitted as provided in Section 54.
When a share of the nominal value of ₹ 100 is issued at ₹ 98, it is said to have been issued at a discount of two per cent.

A company cannot ordinarily issue shares at a discount. It can do so only in cases such as 'reissue of forfeited shares' and in accordance with the provisions of section 54 of The Companies Act 2013 for issue of Sweat Equity Shares.
It states that, a company is permitted to issue shares at a discount provided the following conditions are satisfied:

a) The issue is authorized by a special resolution passed by the company.
b) The resolution specifies the number of shares, the current market price, consideration, if any, and the class or classes of directors or employees to whom such equity shares are to be issued.
c) Not less than one year has, at the date of such issue, elapsed since the date on which the company had commenced business.
d) Where the equity shares of the company are listed on a recognized stock exchange, the sweat equity shares are issued in accordance with the regulations made by the Securities and Exchange Board in this behalf and if they are not so listed, the sweat equity shares are issued in accordance with such rules as may be prescribed.
e) The rights, limitations, restrictions and provisions as are for the time being applicable to equity shares shall be applicable to the sweat equity shares issued under this section and the holders of such shares shall rank pari passu with other equity shareholders.

Accounting Entries

Following are the journal entries in respect of issue of share capital in different situation:

I. Issue of shares at Par (Situation of Full subscription)

a. At the time of Application

Bank A/c	Dr.	
To Share Application A/c		

b. On Allotment (transfer of application money to capital)

Share Application A/c	Dr.	
To Share Capital A/c		

c. On Allotment money due

Share Allotment A/c	Dr.	
To Share Capital A/c		

d. <u>On receipt of allotment money</u>

Bank A/c		Dr.
To Share Allotment A/c		

e. <u>On making amount due on 1st call</u>

Share 1st Call A/c		Dr.
To Share Capital A/c		

f. <u>On receipt of call money</u>

Bank A/c		Dr.
To Share 1st Call A/c		

g. <u>On making amount due on 2nd & Final call</u>

Share 2nd & Final Call A/c		Dr.
To Share Capital A/c		

h. <u>On receipt of call money</u>

Bank A/c		Dr.
To Share 2nd & Final Call A/c		

II. Issue of shares at Premium (Situation of Full subscription)

a. <u>At the time of Application</u>

Bank A/c		Dr.
To Share Application A/c		

b. <u>On Allotment (transfer of application money to capital)</u>

Share Application A/c		Dr.
To Share Capital A/c		

c. <u>On Allotment money due</u>

Share Allotment A/c		Dr.
To Share Capital A/c		
To Securities Premium A/c		

Note: Generally premium is adjusted at the time of allotment unless otherwise specified

d. <u>On receipt of allotment money</u>

Bank A/c		Dr.
To Share Allotment A/c		

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e. <u>On making amount due on 1st call</u>

Share 1st Call A/c	Dr.	
To Share Capital A/c		

f. <u>On receipt of call money</u>

Bank A/c	Dr.	
To Share 1st Call A/c		

g. <u>On making amount due on 2nd & Final call</u>

Share 2nd & Final Call A/c	Dr.	
To Share Capital A/c		

h. <u>On receipt of call money</u>

Bank A/c	Dr.	
To Share 2nd & Final Call A/c		

III. Issue of shares at Par/Premium (Situation of under subscription)

Same set of entries as given under case I & II above are done in a situation of under subscription. The only difference lies in the fact that the number of shares applied for by the public is used in all calculation in place of shares issued by company.

IV. Issue of shares at Par/Premium (Situation of Over subscription)

In a situation of over subscription, the company goes ahead with allotment of share in a way that the shares allotted does not exceed the shares issued. Certainly the excess applications are dealt with either through rejections or pro-rata allotment or full allotment to some applicants or a combination of all these alternate ways.

a. <u>At the time of Application</u>

Bank A/c	Dr.	
To Share Application A/c		

b. <u>On Allotment **(transfer of application money to capital/Excess money to future calls)**</u>

Share Application A/c	Dr.	***A statement of excess amount received on applied shares vis-à-vis allotted shares is made to find out excess amount available for adjustment against future calls***
To Share Capital A/c		
To **Share Allotment** A/c		
To **Share 1st Call** A/c		
To **Share 2nd & Final Call** A/c		

c. <u>On Allotment money due</u>

Share Allotment A/c	Dr.	
To Share Capital A/c		

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d. <u>On receipt of allotment money</u>

Bank A/c	Dr.	***Amount received on allotment is calculated after taking into consideration excess adjusted in entry no-b above***
To Share Allotment A/c		

e. <u>On making amount due on 1st call</u>

Share 1st Call A/c	Dr.
To Share Capital A/c	

f. <u>On receipt of call money</u>

Bank A/c	Dr.	***Amount received on call is calculated after taking into consideration excess adjusted in entry no-b above***
To Share 1st Call A/c		

g. <u>On making amount due on 2nd & Final call</u>

Share 2nd & Final Call A/c	Dr.
To Share Capital A/c	

h. <u>On receipt of call money</u>

Bank A/c	Dr.	***Amount received on call is calculated after taking into consideration excess adjusted in entry no-b above***
To Share 2nd & Final Call A/c		

Note: The above entries are done in the same manner even in case of shares issued at premium. However adjustment of premium has to be made as done in case II earlier.

Forfeiture of Shares

Sometimes it may happen that some shareholders fail to pay one or more installments, viz. allotment money and/or call money. In such circumstances, the company can forfeit their shares, i.e. cancel their allotment and treat the amount already received thereon as forfeited to the company within the framework of the provisions in its articles. The directors can forfeit the shares for nonpayment of calls made. For this purpose, they have to strictly follow the procedure laid down in this regard under the Act.

When shares are forfeited all entries relating to the shares forfeited, except those relating to premium, already received and recorded, must be reversed. Accordingly the journal entry will be as follows:

Case-I: When shares were originally issued at Par

Share Capital A/c	Dr.
To Share Allotment A/c	
To Share 1st Call A/c	
To Share 2nd & Final Call A/c	
To Forfeited Shares A/c	

Note: Share capital is debited and closed with the amount already called up till the stage of forfeiture. Allotment & calls are credited and closed with the amount not received (defaulted amount).

Case-II: When shares were originally issued at Premium

Share Capital A/c	Dr.
Securities Premium A/c	Dr.
To Share Allotment A/c	
To Share 1st Call A/c	
To Share 2nd & Final Call A/c	
To Forfeited Shares A/c	

Note: Share capital is debited and closed with the amount already called up till the stage of forfeiture. Allotment & calls are credited and closed with the amount not received (defaulted amount). Securities Premium account is debited and closed for only such amount of premium which has not been received. The premium which has been already paid by the shareholder cannot be reversed as this will be in violation of section 52 of the Act.

Re-issue of Forfeited Shares

The directors can either cancel or re-issue the forfeited shares. In most cases, however, they reissue such shares which may be at par, at premium or at a discount. Re-issue of forfeited shares is not allotment but only a sale or auction of shares.

When the forfeited shares are reissued at par or at premium, the amount available in share forfeiture account is not utilized as no discount has been offered to the new shareholder against the face value of such shares.
As a result the amount of share forfeiture represents the capital profits and hence transferred to capital reserve account on completion of reissue.

The forfeited shares can be **reissued at a discount**. However this discount so offered cannot exceed the amount forfeited on such shares.
This implies that:

Discount on reissue of forfeited share ≤ Amount of forfeiture

The following journal entries are made:

1. **Reissue at par**

Bank A/c	Dr.
To Share Capital A/c	
Forfeited Shares A/c	Dr.
To Capital Reserve	

2. **Reissue at premium**

Bank A/c	Dr.
To Share Capital A/c	
To Securities Premium A/c	
Forfeited Shares A/c	Dr.
To Capital Reserve	

3. Reissue at Discount

Bank A/c	Dr.
Forfeited Shares A/c	Dr.
To Share Capital A/c	
Forfeited Shares A/c	Dr.
To Capital Reserve	

It is to be noted in this context is that the capital profit arises only in respect of the forfeited share reissued, and not on all forfeited shares. Hence, when only a part of the forfeited shares is reissued, the whole balance of Share Forfeited Account cannot be transferred to the capital reserve. In such a situation, it is only the proportionate amount that relates to the forfeited shares reissued which should be transferred to capital reserve, ensuring that the remaining balance in Share forfeited Account is equal to the amount forfeited on shares not yet reissued.

Issue of shares other than for cash

Sometimes the company can issue shares not for cash but in satisfaction of its liability towards vendor for any purchase of asset or in such cases where it acquires the business of another entity. Shares can also be issued to promoters as payment in lieu of their services.
The shares so issued can be at par or premium as per the arrangement b/w the company and vendor.

No: of shares issue = Total amount payable / Issue price per share

Case-I: Issue of share for purchase of an asset

Asset A/c	Dr.
To Vendor A/c	
Vendor A/c	Dr.
To Securities Premium A/c	
To Share Capital A/c	

Case-II: Issue of share for purchase of Business

Sundry Assets A/c	Dr.
Goodwill A/c	Dr. * (Any One)
To Sundry Liabilities A/c	
To Vendor A/c	
To Capital Reserve A/c	*
Vendor A/c	Dr.
To Securities Premium A/c	
To Share Capital A/c	

Issue of Shares to Promoters and Underwriters

Sometimes, a company may issue shares to the promoters, for the services which they have rendered for the formation of the company. Usually, these services include providing information related to technology, research and development, management, lay out for setting up a plant and all efforts for the incorporation of a company.

As these services are necessary for formation of a company, so the expenses are booked in the form of Formation Expenses or Goodwill.

The following journal entry shall be passed:

Formation Expenses/Goodwill A/c	Dr.	
To Share Capital A/c		

Similarly, shares can also be issued to the underwriters of the company for rendering underwriting services. The following journal entries shall be passed:

1. **For Underwriting Commission Due to Underwriters**

Underwriting Expenses A/c	Dr.	
To Underwriter's A/c		

2. **For issue of share to Underwriters**

Underwriter's A/c	Dr.	
To Share Capital A/c		

Employees Stock Option Plan (ESOP)

Employees Stock Option Plan is a plan drawn to issue securities (Shares etc.) to employees (including whole time directors) at a discount i.e., at a price which is lower than its market value.

The Companies Act, 2013 (Section 53) prohibits issue of shares at a discount. But, through Section 54, it permits issue of ESOPs at a discount.

Terms	Meaning
Grant Date	Date on which the company and employees agree to the Plan.
Vesting Period	Period between the grant date and the date on which all the specified conditions of Employees Stock Option Plan (ESOP) are satisfied. The minimum period should be one year.
Vesting Date	Date on which an employee satisfies the specified conditions and thus, becomes entitled to the options.
Exercise	It means making an application by an employee for issue of shares against the options vested in him.
Exercise Period	Period after vesting within which an employee should exercise the right to apply under the Plan.
Exercise Price	Price payable by the employee for exercising the right for option granted.

The difference between Market Value and Issue Price is the cost to the company.
Since the Options are given to employees at a price lower than market price, it is an expense.

The following journal entry is passed:

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1. <u>During the vesting period</u>

Employees Compensation Expense A/c	Dr.
To Shares Option Outstanding A/c	

Employees Compensation Expense A/c is shown under 'Employees Benefit Expenses' in the Statement of Profit and Loss. Shares Options Outstanding Account is shown as Reserves and Surplus under Shareholders' Funds.

2. <u>For transfer of expense to P&L Account</u>

Profit & Loss A/c	Dr.
To Employees Compensation Expense A/c	

3. <u>When all option is exercised by the Employees</u>

Bank A/c	Dr.
Shares Options Outstanding A/c	Dr.
To Share Capital A/c	
To Securities Premium Reserve A/c	

4. <u>When all options are not exercised by the employees</u>

Bank A/c	Dr.
Shares Options Outstanding A/c	Dr.
To Share Capital A/c	
To Securities Premium Reserve A/c	
To General Reserve A/c	

Balance Sheet Extract (Disclosure of Share Capital)

S.No	Particulars	Sch No	Current Year Amount (₹)	Previous Year Amount (₹)
(A)	**EQUITY & LIABILITIES**			
1.	**Shareholders' funds**			
	(a) Share Capital	**I**		
	(b) Reserves & Surplus	**II**		

<u>Schedules forming part of the Balance Sheet:</u>

I. Share Capital:

Particulars	Current Year Amount (₹)	Previous Year Amount (₹)
Authorized Capital		
XXXX Shares of ₹ XX/- each	**xxx**	**xxx**
Issued & Subscribed Capital		
XXX Shares of ₹ XX/- each	**xxx**	**xxx**
Paid-up Capital		
XXX Shares of ₹ XX/- each fully called-up	**xxx**	**xxx**
Less: Calls-in arrear	**xxx**	**xxx**
Add: Shares Forfeited	**xxx**	**xxx**

II. Reserves & Surplus:

Particulars	Current Year Amount (₹)	Previous Year Amount (₹)
Revenue Reserve	xxx	xxx
General Reserve	xxx	xxx
Capital Reserve	xxx	xxx
Securities Premium	xxx	xxx
Shares Options Outstanding Account	xxx	xxx

Concept of Private Placement of Shares

According to Section 42 of the Companies Act, 2013, Private placement means any offer of securities or invitation to subscribe securities to a select group of persons by a company (other than by way of public offer) through issue of private placement offer letter and which satisfies the conditions specified in this section. Therefore when securities are offered to the select group of persons it is known as the Private Placement of shares. The following conditions are to be fulfilled:

1. Offer of securities shall be made in a financial year to persons not exceeding 50 in number or such higher number as may be prescribed. The maximum number of persons to whom offer of Private Placement can be made is prescribed as 200.
2. Qualified Institutional buyers and employees of the company offered securities under a scheme of employee stock option are excluded.
3. Fresh offer or invitation shall not be made unless the allotments with respect to any offer or invitation made earlier have been completed or that offer or invitation has been withdrawn or abandoned by the company.
4. The amount of subscription should not be less than ₹ 20,000.
5. All monies payable towards subscription of securities shall be paid through cheque or bank draft or any other banking instrument but not by cash.
6. The company shall allot its securities within 60 days from the date of receipt of application money. If the company is unable to allot securities within 60 days, it shall refund the application money within 15 days from the day of completion of 60 days. And if the company is unable to refund the application money within 15 days from the day of completion of 60 days, it shall pay interest @ 12% p.a. from the expiry of sixtieth day.
7. Money received on application shall be kept in a separate Bank Account and shall be utilized:
   i. for adjustment against allotment of securities; or
   ii. for the repayment of money against which the company is unable to allot securities.
8. Offers shall be made only to such persons whose names are recorded by the company prior to the invitation to subscribe.
9. Complete information of the offer shall be filed with the Registrar of Companies within 30 days of the circulation of offer for private placement.
10. The company shall not issue any public advertisement or use any media, marketing or distribution channels or agents to inform the public at large about the offer.

The money receivable by the company may be received in lump sum or installments. The journal entries that are to be passed under this situation is similar to that which are passed in case the shares are issued to public for cash.

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Test Your Knowledge & Practice

Issue of Shares for Cash at Par

1. A company issued 2,50,000 Equity Shares of ₹ 10 each to public. All amounts have been received in lump sum. Pass necessary Journal entries in the books of the company.

2. XYZ Ltd. invited applications for 10,000 shares of ₹ 10 each payable as ₹ 2 on application, ₹ 3 on allotment, ₹ 2 on first call and the balance on final call. All the shares were applied and allotted. All the money was duly received. You are required to Journalize these transactions.

3. A Company was registered with a Nominal Capital of ₹ 10,00,000 divided into 10,000 shares ₹ 100 each; payable ₹ 10 per share on application, ₹ 20 per share on allotment and balance on first and final call. All the shares were taken up and fully paid for by the public. Pass Journal entries to record the issue of shares.

4. The authorized capital of ₹ 16,00,000 of XYZ Ltd. is divided into 1,60,000 Equity Shares of ₹ 10 each. Out of these shares, 80,000 Equity Shares were issued to the public. The full nominal value is payable on application. All the shares were subscribed by the public and total amount was paid for. Give necessary Journal entries in the books of the company.

5. A company was registered with an Authorized Capital of ₹ 10,00,000 divided into 7,500 Equity Shares of ₹ 100 each and 2,500 9% Preference Shares of ₹ 100 each. 1,000 Equity and 500 Preference Shares were offered to public on the following terms—Equity Shares payable ₹ 10 on application, ₹ 40 on allotment and the balance in two calls of ₹ 25 each. Preference Shares are payable ₹ 25 on application, ₹ 25 on allotment and ₹ 50 on first and final call. All the shares were applied for and allotted. Amount due was duly received. Prepare Cash Book and pass necessary Journal entries to record the above issue of shares and show how the Share Capital Account will appear in the Balance Sheet.

Undersubscription

6. B Ltd. was registered with a capital of ₹ 6,00,000 in shares of ₹ 10 each. It issued a prospectus inviting applications for 6,000 shares at par payable as ₹ 4 on Application, ₹ 2 on Allotment, ₹ 2 on First Call and ₹ 2 on Second Call. Applications were received for 5,400 shares. All money was duly received. Pass the necessary Journal entries.

7. A Ltd. invited applications for 6,000 Equity Shares of ₹ 10 each issued at par. The whole amount was payable on application. The issue was under subscribed by 1,000 shares. Pass the necessary Journal entries.

8. The Kalyan Cotton Mills Ltd. was registered on 1st January, 2023 with a capital of ₹ 10,00,000 divided into 1,00,000 shares of ₹ 10 each. The company issued 42,000 shares of which 40,000 shares were taken up by the public and ₹ 1 per share was received with application. On 1st February, these shares were allotted and ₹ 2 per share was duly received on 28th February as allotment money. A first call of ₹ 3 per share was made on 1st March and the call money on all shares with the exception of 100 shares was received. The final call of ₹ 4 per share was made on 1st June and the amount due, with the exception of 400 shares, was received by 30th June.
Pass necessary Journal and Cash Book entries and prepare the Balance Sheet as at 30th June, 2023.
(Ans: Balance Sheet Total: ₹ 3,98,100)

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9. D Ltd. invited application for 2,00,000 equity shares and 3,00,000 preference shares of ₹ 10 and ₹ 20 per share respectively payable as follows:

	Equity Shares (₹)	Preference Shares (₹)
On Application	2	5
On Allotment	4	6
On First Call	3	4
On Final Call	1	5

Applications were received for 1,80,000 equity shares and 4,20,000 preference shares. Applications for equity shares were accepted in full. Applications for preference shares were allotted as follows:

Applications for 2,00,000 shares	-	1,50,000
Applications for 1,50,000 shares	-	1,00,000
Applications for 70,000 shares	-	50,000

All the money duly received except allotment and call money on 2,000 equity shares. Journalize.

(Ans: Allotment received: Equity shares: ₹ 7,12,000 and Preference shares: ₹ 12,00,000 respectively)

Oversubscription

10. Y Ltd. invited applications for 6,000 Equity Shares of ₹ 10 each issued at par. The whole amount was payable on application. The issue was oversubscribed by 1,200 shares. Pass the necessary Journal entries.

(Ans: Surplus Refunded: ₹ 12,000)

11. X Ltd. invited applications for 10,000 Equity Shares of ₹ 10 each issued at par. The whole amount was payable on application. The issue was oversubscribed by 2,000 shares and allotment was made on pro rata basis. Pass necessary Journal entries.

12. ABC Ltd. invited applications for 50,000 shares of ₹ 10 each payable ₹ 3 on application, ₹ 4 on allotment and balance on first and final call. Applications were received for 60,000 shares. Applications were accepted for 50,000 shares and remaining applications were rejected. All calls were made and received except First and Final call on 500 shares. Pass the Journal entries in the books of ABC Ltd.

13. ABC Company Ltd. offered for subscription 20,000 shares of ₹ 10 each payable ₹ 2.50 on application and ₹ 5 on allotment for each share. Applications were received for 30,000 shares. Letters of regret were issued to applicants for 5,000 shares and their application money was refunded. Application money for other 5,000 shares was applied towards the payment for allotment money and all the 20,000 shares were issued to the public. The balance of allotment money was also received in due time. You are asked to give the Journal, Cash Book, Ledger Accounts and the Balance Sheet of the company.

(Ans: Total of Cash Book: ₹ 1,62,500; Balance Sheet Total: ₹ 1,50,000)

14. Star Cycle Ltd. was registered with a capital of ₹ 5,00,000 divided into 20,000 shares of ₹ 25 each. The company offered to public for subscription 10,000 shares payable ₹ 5 per share on application, ₹ 5 per share on allotment and the balance in two calls of ₹ 7.50 each. The company received applications for 11,600 shares. Applications for 1,000 shares were rejected and application money was refunded to the applicants. A person who applied for 1,000 shares was allotted only 400 shares and excess of his application money was carried forward towards the payment of allotment and calls. Give Journal entries.

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15. Sun TV Ltd. issued 50,000 shares of ₹ 10 each payable ₹ 3 on application, ₹ 3 on allotment and balance on first and final call. Applications were received for 1,00,000 shares and allotment was made as follows:
Applicants for 60,000 shares were allotted 30,000 shares.
Applicants for 40,000 shares were allotted 20,000 shares.
Abhay to whom 1,000 shares were allotted from category (i), failed to pay the allotment money. Pass Journal entries up to allotment.

Issue of Shares for Cash at Premium

16. S Ltd. issued 1,00,000 Equity Shares of ₹ 10 each at a premium of ₹ 5 per share. The whole amount was payable on application. The issue was fully subscribed. Pass necessary Journal entries.

17. X Ltd. invited applications for 11,000 Equity Shares of ₹ 10 each issued at 20% premium. The whole amount was payable on application. The issue was undersubscribed by 1,000 shares. Pass necessary Journal entries.

18. H Ltd. was registered with a capital of ₹ 8,50,000 divided into 8,500 shares of ₹ 100 each. It issued 7,000 shares at a premium of ₹ 10 payable as: ₹ 25 on application, ₹ 40 on allotment (including ₹ 10 premium), and ₹ 45 on first and final call. Applications were received for 9,000 shares. Applicants of 2,000 shares were sent letters of regret and application money was refunded. All the money due on shares was duly received. Give necessary journal entries and prepare cashbook.
(Ans: Allotment received: ₹ 2,80,000)

19. A limited company offered for subscription 10,000 shares of ₹ 25 each, payable ₹ 5 per share on application, ₹ 10 per share on allotment (including ₹ 5 per share as premium), ₹ 5 per share as first call on the shares and the balance in two equal amounts at intervals of three months. All the shares were applied for and allotted. All the money was received except the second call and final call moneys on 200 and 400 shares respectively.
You are asked to show the entries in the company's Journal, Cash Book and the Ledger. Also show the company's Balance Sheet on completion of the above transactions.
(Ans: Cash Book Balance: ₹ 2,97,000)

20. X Ltd. was incorporated with a capital of ₹ 2,00,000 divided into shares of ₹ 10 each. 2,000 shares were offered to the public and out of these, 1,800 shares were applied for and allotted. ₹ 3 per share (including ₹ 1 premium) was payable on application, ₹ 4 per share (including ₹ 1 premium) on allotment, ₹ 2 per share on first call and ₹ 3 per share on final call. All the money was received. Give necessary Journal entries and the Balance Sheet.
(Ans: Balance Sheet Total: ₹ 21,600)

21. M Ltd. issued 10,000 shares of ₹ 10 each at a premium of ₹ 2 per share. The amount of share was payable as ₹ 4 on application, ₹ 4 on allotment (including premium), and balance on first and final call. Applications for 15,000 shares were received and allotment was made to all the applicants on pro rata basis. Directors decided to adjust excess application money towards allotment only. Give journal entries assuming all money due was received.
(Ans: Allotment received: ₹ 20,000)

22. Authorized capital of Suhani Ltd. is ₹ 45,00,000 divided into 30,000 shares of ₹ 150 each. Out of these company issued 15,000 shares of ₹ 150 each at a premium of ₹ 10 per share. The amount was payable as ₹ 50 per share on application, ₹ 40 per share on allotment (including premium), ₹ 30 per share on first call and balance on final call. Public applied for 14,000

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shares. All the money was duly received.
Prepare an extract of Balance Sheet of Suhani Ltd. as per Schedule III, Part I of the Companies Act, 2013 disclosing the above information. Also prepare 'Notes to Accounts' for the same.
(Ans: Share Capital: ₹ 21,00,000; Reserves and Surplus: ₹ 1,40,000; Cash at Bank: ₹ 22,40,000)

23. A Ltd. issued 20,000 equity shares of ₹ 10 each at a premium of ₹ 1 per share payable as ₹ 3 on application, ₹ 5 on allotment (including premium) and ₹ 3 on final call. The issue was over-subscribed to the extent of 15,000 shares, and the allotment was done as follows:
Applicants of 5,000 shares were given full allotment.
Other applicants of shares were allotted shares on a pro rata basis. The excess application money received was to be adjusted allotment only.
All money due were received with the exception of the call money on 400 shares. Pass necessary journal entries to record the above transactions.
(Ans: Allotment received: ₹ 55,000 and on call: ₹ 58,800)

24. X company issued ₹ 10,00,000 new capital divided into shares of ₹ 100 each at a premium of ₹ 20 per share payable as ₹ 10 per share on application, ₹ 40 per share along with ₹ 10 premium on allotment and ₹ 50 per share along with ₹ 10 premium on final payment. Over-payments on application were to be applied towards amount due on allotment and over-payments on application exceeding amount due on allotment was to be returned.
Issue was oversubscribed to the extent of 13,000 shares. Applicants for 12,000 shares were allotted only 1,000 shares and applicants for 2,000 shares were sent letters of regret. All the money due on allotment and final call was duly received.
Pass necessary entries in the company's books to record the above transactions.
(Ans: Balance Sheet Total: ₹ 12,00,000)

Calls-in-Arrears and Calls-in-Advance

25. Ghosh Ltd. made the second and final call on its 50,000 Equity Shares @ ₹ 2 per share on 1st January, 2023. The entire amount was received on 15th January, 2023 except on 100 shares allotted to Venkat. Pass necessary Journal entries for the call money due and received by opening Calls-in-Arrears Account.

26. G.M. Ltd. did not receive the first call on 2,700 Equity Share @ ₹ 3 per share which was due on 1.1.2023. The amount was received on 1.2.2023.
Open calls in arrears account and record the above transactions in the books of the company on 1.1.2023 and 1.2.2023.
(Ans: Calls in arrears ₹ 8,100)

27. On 1.1.2023 X Ltd. received in advance the first call of ₹ 2 per share on 10,000 equity shares. The first call was due on 15.2.2023.
Journalize the above transactions and transfer the advance to first call account by opening a Calls-in-Advance account.
(Ans: Calls–in-advance ₹ 20,000)

28. Bharat Ltd. made the first call of ₹ 2 per share on its 1,00,000 Equity Shares on 1st March, 2023. Ashok, a shareholder, holding 800 shares paid the second and final call amount along with the first call money. The second and final call amount was ₹ 3 per share. Pass necessary Journal entries for recording the above using the Calls-in-Advance Account.

29. A Ltd. was registered with a capital of ₹ 5,00,000 in shares of ₹ 10 each and issued 20,000 such shares at a premium of ₹ 2 per share, payable as ₹ 2 per share on application, ₹ 5 per

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share on allotment (including premium) and ₹ 2 per share on first call made three months later. All the money payable on application and allotment was duly received but when the first call was made, one shareholder paid the entire balance on his holding of 300 shares and another shareholder holding 1,000 shares failed to pay the first call money. Give Journal entries to record the above transactions and show how they will appear in the company's Balance Sheet.
(Ans: Balance Sheet Total: ₹ 1,78,900)

30. XYZ Ltd. issued 8,000 Equity Shares of ₹ 10 each. ₹ 5 per share was called, payable ₹ 2 on application, ₹ 1 on allotment, ₹ 1 on first call and ₹ 1 on second call. All the money was duly received with the following exceptions:
A who holds 250 shares paid nothing after application.
B who holds 500 shares paid nothing after allotment.
C who holds 1,250 shares paid nothing after first call.
Prepare Journal and the Balance Sheet.
(Ans: Balance Sheet Total: ₹ 37,000)

31. XYZ Ltd. issued 20,000 shares of ₹ 10 each, payable as follows:

On Application	₹ 2.50 (Jan 1, 2023)
On Allotment	₹ 2.50 (April 1, 2023)
On First Call	₹ 2.50 (June 1, 2023)
On Second and Final Call	₹ 2.50 (August 1, 2023)

19,000 shares were applied for and full allotment was made to all of them. Sikander, one of the shareholders to whom 400 shares were allotted paid the entire balance with allotment money and another shareholder, Hari, did not pay allotment and first call money on his 600 shares but which he paid with the final call. Calculate interest on calls in advance and calls in arrears on the basis of provisions of Table 'F' of the Companies Act, 2013.
(Ans: Calls in advance: ₹ 2,000 and Calls in Arrear: ₹ 3,000; Interest on Call in advance: ₹ 60 and interest on Calls in Arrears: ₹ 75)

Issue of Shares for Consideration other than Cash

32. 2,000 Equity Shares of ₹ 10 each were issued to X Limited from whom assets of ₹ 25,000 were acquired. Pass Journal entry.

33. A limited company issued 800 Equity Shares of ₹ 100 each at a premium of 25% as fully paid-up in consideration of the purchase of plant and machinery worth ₹ 1,00,000. Pass entries in company's Journal.

34. N Ltd. purchased furniture costing ₹ 1,59,000 from S Furniture. Payment was made as ₹ 59,000 in cash and balance was payable by way of issuing equity shares of ₹ 100 each at par. Journalize.

35. O Ltd. purchased furniture costing ₹ 1,59,000 from S Furniture. Payment was made as ₹ 69,000 in cash and balance was payable by way of issuing equity shares of ₹ 100 each at a premium of ₹ 20. Journalize.

36. Jain Ltd. purchased machinery costing ₹ 10,00,000 from Ayer Ltd. 50% of the payment was made by cheque and for the remaining 50%, the company issued Equity Shares of ₹ 100 each at a premium of 25%. Pass necessary Journal entries in the books of Jain Ltd.

37. Apollo Television Co. Ltd. issued 5,000 Equity shares of ₹ 10 each credited as fully paid-up to the underwriters for their underwriting services. Pass necessary Journal entries.

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38. Arya Limited issued 900 equity shares of ₹ 100 each as fully paid up in consideration of the purchase of plant and machinery worth ₹ 99,000. Make entries in company's journal.
(Ans: Securities premium: ₹ 9,000)

39. A company issued 30,000 fully paid-up shares of ₹ 100 each for purchase of the following assets and liabilities from Sharma & Co:

Plant	₹ 7,00,000	Stock-in-Trade	₹ 9,00,000
Land and Building	₹12,00,000	Sundry Creditors	₹ 2,00,000

You are required to pass necessary Journal entries.
(Ans: Goodwill: ₹ 4,00,000)

40. Roy Ltd. issued ₹ 4,00,000 fully paid up equity share of ₹ 100 each at par for the purchase of the following assets and liabilities from Mohan Ltd.

Furniture	₹ 1,50,000	Debtors	₹ 1,60,000
Computer	₹ 80,000	Creditors	₹ 70,000

Pass necessary entries in the books of Roy Ltd.
(Ans: Goodwill: ₹ 80,000)

41. A company purchased a running business from M/s. Rai Brothers for a sum of ₹ 15,00,000 payable ₹ 12,00,000 in fully paid shares of ₹ 10 each and balance through cheque. The assets and liabilities consisted of the following:

Plant and Machinery	₹ 4,00,000	Stock	₹ 4,00,000
Building	₹ 4,00,000	Cash	₹ 3,00,000
Sundry Debtors	₹ 3,00,000	Sundry Creditors	₹ 2,00,000

You are required to pass necessary Journal entries in the company's books.
(Ans: Capital Reserve: ₹ 1,00,000)

42. Purchased a running business from Aman Ltd. for a sum of ₹ 15,00,000. The payment of ₹ 12,00,000 was made by issue of fully paid equity shares of ₹ 10 each and balance by a bank draft. The assets and liabilities consisted of the following:
Plant ₹ 3,50,000; Stock ₹ 4,50,000; Land and Building ₹ 6,00,000; Sundry Creditors ₹ 1,00,000.
(Ans: Goodwill: ₹ 2,00,000)

Issue of Shares to Promoters

43. Delhi transport Ltd. issued 1,000 equity shares of ₹ 100 each to its promoters in consideration of the services rendered by them at par.
(Ans: Dr. Formation Expenses/Goodwill and Cr. Equity Share Capital with ₹ 1,00,000)

44. Bharat Ltd. was formed on 1.4.2023 with an authorized capital of ₹ 40,00,000 divided into equity shares of ₹ 10 each. The company issued 5,000 shares to its Promoters as the remuneration of the services rendered by them at par. Company also issued at 10% premium to Mr. Manoj for the purchase of assets of ₹ 5,50,000 from him. Journalize.
(Ans: Dr. Formation expenses/Goodwill and Cr. Equity Share Capital with ₹ 50,000; 50,000 shares were issued to Mr. Manoj)

Forfeiture and Reissue of Shares which were Originally Issued at Par

45. Z Ltd. issued 20,000 Equity Shares of ₹ 10 each at par payable: On application ₹ 2 per share; on allotment ₹ 3 per share; on first call ₹ 3 per share; on second and final call ₹ 2 per share. Mr. Gupta was allotted 100 shares.

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Pass necessary Journal entry relating to the forfeiture of shares in each of the following alternative cases:
Case I - If Mr. Gupta failed to pay the allotment money and his shares were forfeited.
Case II - If Mr. Gupta failed to pay allotment money and on his subsequent failure to pay the first call, his shares were forfeited.
Case III - If Mr. Gupta failed to pay the first call and on his subsequent failure to pay the second and final call, his shares were forfeited.

46. A, who holds 200 shares of ₹ 100 each, has paid only ₹ 25 per share as application money.
B, who holds 300 shares of ₹ 100 each, has paid ₹ 25 per share on application and ₹ 30 per share on allotment.
C, who holds 400 shares of ₹ 100 each, has paid ₹ 25 per share on application, ₹ 30 per share on allotment and ₹ 20 per share on first call.
They failed to pay their arrears and the final call. Their shares were forfeited and re-issued at ₹ 95 per share. Prepare necessary journal entries.
(Ans. Capital Reserve: ₹ 47,000)

47. Narmada Limited was registered with an Authorized Capital of ₹ 5,00,000 in ₹ 10 Shares; out of which 30,000 shares were issued to the public, payable as follows:

On application & Allotment	₹ 3
On First Call	₹ 4
On Second Call	₹ 3

Govind, holding 100 shares failed to pay the First Call money and his shares were forfeited after the First Call. Gopal, holding 200 shares failed to pay the second call and his shares were also forfeited. Pass Journal entries.
(Ans: Share Forfeiture A/c: ₹ 1,700)

48. The directors of a company forfeited 1,000 equity shares of ₹ 10 each (fully called) on which ₹ 4,000 had been paid. 400 of these shares were re-issued upon payment of ₹ 3,000. Journalize the transactions of forfeiture and re-issue of shares.
(Ans: Capital Reserve: ₹ 600)

49. The Directors of Amtek Ltd. resolved on 1st April, 2023 that 1,000 equity shares of ₹ 10 each, ₹ 8 per share called-up be forfeited for non-payment of first call of ₹ 2 per share. On 1st February, 600 of these shares were re-issued at ₹ 7 per share fully paid-up.
Journalize the transactions of forfeiture and re-issue of shares.
(Ans: Capital Reserve: ₹ 1,800)

50. Super Star Ltd. makes an issue of 10,000 Equity Shares of ₹ 100 each, payable as:

On Application and Allotment	₹ 50
On First Call	₹ 25
On Second and Final Call	₹ 25

Members holding 400 shares did not pay the second and final call and the shares are duly forfeited, 200 of which are reissued as fully paid-up @ ₹ 50 per share. Pass Journal entries in the books of the company.
(Ans: Capital Reserve: ₹ 5,000)

51. A Limited Company forfeited 100 Equity Shares of the face value of ₹ 10 each, ₹ 6 per share called-up, for non-payment of first call of ₹ 2 per share. The forfeited shares were subsequently reissued as fully paid-up @ ₹ 7 each. Give necessary entries in the company's Journal.
(Ans: Capital Reserve: ₹ 100)

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52. A company issued 10,000 shares of the value of ₹ 10 each, payable ₹ 3 on application, ₹ 3 on allotment and ₹ 4 on the first and final call. All amounts are duly received except the call money on 100 shares. These shares are subsequently forfeited by Directors and are resold as fully paid-up for ₹ 500. Give necessary Journal entries.
(Ans: Capital Reserve: ₹ 100)

53. The Directors of M Ltd. resolved on 1st May, 2023 that 2,000 Equity Shares of ₹ 10 each, ₹ 7.50 paid be forfeited for non-payment of final call of ₹ 2.50. On 10th June, 2023, 1,800 of these shares were reissued for ₹ 6 per share. Give necessary Journal entries.
(Ans: Capital Reserve: ₹ 6,300)

54. X Ltd. forfeited 900 Equity Shares of ₹ 100 each for the non-payment of allotment money of ₹ 30 per share and the first call of ₹ 20 per share. The second and final call of ₹ 25 per share has not been made. The forfeited shares were reissued for ₹ 90 per share, ₹ 75 paid-up. Journalize the above.
(Ans: Capital Reserve: ₹ 22,500)

55. S Ltd. with a registered capital of ₹ 5,00,000 in shares of ₹ 10 each, invited applications for 20,000 shares payable as:

On application	₹ 2
On allotment	₹ 2
On first call	₹ 3
On final call	₹ 3

An applicant who had been allotted 250 shares failed to pay allotment and first call money due from him. His shares were forfeited. After this, the final call was made and the forfeited shares were reissued as fully paid-up @ ₹ 8.50 per share.
Pass Journal entries and show the company's Balance Sheet.
(Ans: Capital Reserve: ₹ 125; Balance Sheet Total: ₹ 2,00,125)

56. New Company Ltd. has a nominal capital of ₹ 2,50,000 in shares of ₹ 10. Of these, 8,000 shares were subscribed by the public and during the first year ₹ 5 per share were called-up, payable ₹ 2 on application, ₹ 1 on allotment, ₹ 1 on first call and ₹ 1 on second call. The amounts received in respect of these shares were:

On 6,000 shares the full amount called.	
On 1,250 shares	₹ 4 per share
On 500 shares	₹ 3 per share
On 250 shares	₹ 2 per share

The Directors forfeited the 750 shares on which less than ₹ 4 had been paid. The shares were subsequently reissued at ₹ 3 per share. Give Journal entries recording the above transactions.
(Ans: Capital Reserve: ₹ 500; Balance Sheet Total: ₹ 79,250)

57. A holds 100 shares of ₹ 10 each on which he has paid ₹ 1 per share on application. B holds 200 shares of ₹ 10 each on which he has paid ₹ 1 and ₹ 2 per share on application and allotment respectively. C holds 300 shares of ₹ 10 each and has paid ₹ 1 on application, ₹ 2 on allotment and ₹ 3 on first call.
They all fail to pay their arrears and the second call of ₹ 2 per share. Shares are forfeited and subsequently reissued @ ₹ 11 per share as fully paid-up. Journalize the above.
(Ans: Capital Reserve: ₹ 2,500)

58. XYZ Ltd. issued 20,000 shares of ₹ 20 each payable as:

On application	₹ 4
On allotment	₹ 4
On first call	₹ 6

On second and final call ₹ 6

All the amounts were received except the following:
A, 500 shares, has not paid allotment, first call and final call.
B, 300 shares, has not paid first call and final call.
C, 200 shares, has not paid final call.
All the above shares were forfeited and were reissued in the following manner:
Shares of A @ ₹ 18 per share, Shares of B @ ₹ 16 per share and Shares of C @ ₹ 15 per share.
Pass Journal entries regarding forfeiture and reissue of shares.
(Ans: Capital Reserve: ₹ 4,000)

59. X Ltd. issued 10,000 Equity Shares of ₹ 10 each, payable ₹ 3 on application, ₹ 3 on allotment and the balance on two calls. All the calls were duly made and the amount so realised with the exception of the following:
(i) Mr. A holding 100 shares did not pay the amount due on first and final call
(ii) Mr. B holding 100 shares did not pay the amount due on final call.
All the shares were forfeited and reissued only 150 shares (all of A and balance of B) to Mr. D @ ₹ 8 per share. Show the forfeiture and reissue entries.
(Ans: Capital Reserve: ₹ 700)

Forfeiture and Reissue of Shares which were Originally Issued at Premium

60. A share of ₹ 100 issued at a premium of ₹ 10 on which ₹ 80 (including premium) was called and ₹ 60 (including premium) was paid, has been forfeited. This share was afterwards reissued as fully paid-up for ₹ 70. Give Journal entries to record the above.
(Ans: Capital Reserve: ₹ 20)

61. A Ltd. forfeited 800 shares of ₹ 10 each issued at 20% premium (to be paid at the time of allotment) for non-payment of a final call of ₹ 2 per share. Out of these, 600 shares were re-issued as fully paid-up for ₹ 13 per share. Journalize.
(Ans: Capital Reserve: ₹ 4,800)

62. B Ltd. forfeited 500 shares of ₹ 10 each issued at 20% premium (to be paid at the time of allotment) for non-payment of the first call of ₹ 3 per share and final call of ₹ 2 per share. Out of these, 300 shares were re-issued as fully paid-up for ₹ 10 per share. Journalize.
(Ans: Capital Reserve: ₹ 1,500)

63. C Ltd. forfeited 300 shares of ₹ 10 each issued at 20% premium (to be paid at the time of allotment) for non-payment of allotment money of ₹ 4 per share (including premium), first call of ₹ 3 per share and final call of ₹ 2 per share. Out of these, 200 shares were re-issued as fully paid-up at a discount of ₹ 3 per share. Journalize.
(Ans: Capital Reserve: Nil)

64. X Ltd. forfeited 800 shares of ₹ 20 each issued at a premium of ₹ 2 per share to Mahesh (₹ 18 called-up) on which he did not pay first call of ₹ 4. Of these, 300 shares were re-issued @ ₹ 15 per share as ₹ 18 paid-up. Journalize.
(Ans: Capital Reserve: ₹ 3,300)

65. Y Ltd. forfeited 100 shares of ₹ 10 each issued at 20% premium (to be paid at the time of allotment) on which first call money of ₹ 3 was not received; the final call money of ₹ 2 is not yet called. These shares were subsequently re-issued at ₹ 7 per share as ₹ 8 paid-up. Journalize.
(Ans: Capital Reserve: ₹ 400)

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66. Y Ltd, forfeited 2,000 shares of ₹ 10 each issued at 20% premium (to be paid at the time of allotment) on which allotment money of ₹ 4 (including premium) and first call money of ₹ 3 was not received; the final call money of ₹ 2 is not yet called. 1,500 of these shares were re-issued as fully paid for ₹ 7 per share. Journalize.
(Ans: Capital Reserve: Nil)

67. 500 shares of ₹ 10 each, issued at a premium of ₹ 1 on which ₹ 8 (including premium) was called and ₹ 6 (including premium) was paid, have been forfeited. 400 of these shares were re-issued as fully paid for ₹ 7 each. Journalize.
(Ans: Capital Reserve: ₹ 800)

68. The Directors of a company forfeited 300 shares of ₹ 10 each issued at a premium of ₹ 3 per share, for the non-payment of the first call money of ₹ 2 per share. The final call of ₹ 2 per share has not been made. Half of the forfeited shares were reissued at ₹ 1,500 as fully paid-up. Record the Journal entries for the forfeiture and reissue of shares.
(Ans: Capital Reserve: ₹ 900)

69. A Ltd. has authorized capital of ₹ 2,00,000, divided into shares of ₹ 20 each, the whole of which is issued and subscribed at a premium of ₹ 2 per share. The amount was payable as:
On application and allotment ₹ 12 per share (including premium) and on first call ₹ 2 per share, the balance as and when required.
The application and allotment money (including premium) was duly received but a shareholder holding 500 shares failed to pay the first call and his shares were forfeited. They were later reissued for ₹ 16 per share as fully paid-up. Give Journal entries for the above.
(Ans: Capital Reserve: ₹ 3,000)

70. Commerce Publications Ltd. issued 50,000 Equity Shares of ₹ 10 each at a premium of 10% payable as: On application ₹ 2, on allotment ₹5, on first call ₹ 2, on final call ₹ 2.
The whole of the issue was called for by the company and all the money was duly received except the allotment and call money on 500 shares. These shares were, therefore, forfeited and later on reissued @ ₹ 9 per share as fully paid-up. Pass necessary Journal entries to record the above transactions.
(Ans: Capital Reserve: ₹ 500)

71. JCB Ltd. has an authorized capital of ₹ 4,00,000 divided into shares of ₹ 20 each, the whole of which is issued and subscribed at a premium of ₹ 2 per share.
The amount was payable as: On application and allotment ₹ 10 per share, on first call ₹ 4 per share (including premium) and the balance as and when required. The company made both the calls. The application and allotment money were duly received. But a shareholder holding 2,000 shares failed to pay both the calls and his shares were forfeited. They were later reissued @ ₹ 14 per share as fully paid-up. Give Journal entries.
(Ans: Capital Reserve: ₹ 8,000)

72. Reliance Ltd. is having an authorized capital of ₹ 50,00,000 divided into equity shares of ₹ 100 each. The company offered 42,000 shares to the public. The amount payable was as follows:
On Application — ₹ 30 per share
On Allotment — ₹ 40 per share (including premium)
On First and Final Call — ₹ 50 per share
Applications were received for 40,000 shares.
All sums were duly received except the following:
(i) A, a holder of 100 shares did not pay allotment and call money.
(ii) B, a holder of 200 shares did not pay call money.

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The company forfeited the shares of A and B. Subsequently, the forfeited shares were reissued for ₹ 70 per share as fully paid-up.
Show entries for the above transactions in the Cash Book and Journal of the company.
(Ans: Capital Reserve: ₹ 4,000; Balance of Cash Book: ₹ 48,02,000)

73. TATA Ltd. invited applications for issuing 30,000 Equity Shares of ₹ 10 each at a premium of ₹ 30 per share. The amount was payable as follows:
On Application ₹ 10 per share (including ₹ 8 Premium)
On Allotment ₹ 12 per share (including ₹ 9 Premium)
On First and Final Call—Balance
Applications for 27,000 shares were received. All the calls were made and were duly received except on 3,000 shares held by X who failed to pay the Allotment and First and Final call money and on 2,000 shares of Y who did not pay the First and Final call.
Shares of X and Y were forfeited. Out of the forfeited shares, 4,000 shares were reissued, including all the shares of Y at ₹ 17 per share as fully paid-up.
Pass necessary Journal entries in the books of TATA Ltd. for the above transactions.
(Ans: Amount Forfeited: ₹ 16,000; Capital Reserve: ₹ 14,000; Money Received on Allotment: ₹ 2,88,000)

Forfeiture and Reissue of Shares which were Allotted on Pro Rata

74. Alfa Ltd. invited applications for issuing 75,000 equity shares of ₹ 10 each. The amount was payable as follows:
On application and allotment—₹ 4 per share
On first call—₹ 3 per share
On second and final call—balance
Applications for 1,00,000 shares were received. Shares were allotted to all the applicants on pro rata basis and excess money received with applications was transferred towards sums due on first call. Vibha who was allotted 750 shares failed to pay the first call. Her shares were immediately forfeited. Afterwards the second call was made. The amount due on second call was also received except on 1,000 shares, applied by Monika. Her shares were also forfeited. All the forfeited shares were reissued to Mohit for ₹ 9,000 as fully paid-up.
Pass necessary Journal entries in the Books of Alfa Ltd. for the above transactions.
(Ans: Capital Reserve: ₹ 3,250)

75. Tata Ltd. having an authorized capital of ₹ 20,00,000 in shares of ₹ 100 each invited application for 10,000 shares payable as:

On application	₹ 20
On allotment	₹ 30
On first call	₹ 25
On second and final call	₹ 25

The company received applications for 12,000 shares. Applications for 10,000 shares were accepted in full and the money on the applications rejected was returned.
All money due as stated above was received with the exception of the second and final call on 250 shares. These shares were forfeited and half of these shares were reissued as fully paid-up at ₹ 90 per share. Pass necessary Journal entries and prepare the extract of Balance Sheet.
(Ans: Capital Reserve: ₹ 8,125; Balance Sheet Total: ₹ 10,05,000)

76. Swaraj & Co. was registered with an authorized capital of ₹ 5,00,000 divided into 50,000 shares of ₹ 10 each. The company offered 30,000 of these shares to the public, which were payable ₹ 2 per share on application, ₹ 4 per share on allotment and the balance three months later. Applications for 46,000 shares were received on which the Directors allotted

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shares as:

Applications for 20,000 shares	Full
Applications for 25,000 shares	40%
Applications for 1,000 shares	Nil

₹ 86,000 was realized on account of allotment money (excluding the amount carried from application money) and ₹ 1,00,000 on account of call. The Directors decided to forfeit those shares on which allotment money was overdue. Show Journal entries in the company's books.

(Ans: Forfeited Shares A/c: ₹ 2,000)

77. H Limited issued a prospectus inviting applications for 20,000 shares of ₹ 10 each at a premium of ₹ 2 per share payable as follows:

On application ₹ 2; on allotment ₹ 5 (Inc. Premium); on first call ₹ 3; on 2nd & final call ₹ 2.

Applications were received for 30,000 shares and pro rata allotment was made on the applications for 24,000 shares. Money overpaid on applications was adjusted against amount due on allotment.

Ramesh, to whom 400 shares were allotted, failed to pay the allotment money and on his subsequent failure to pay first call his shares were forfeited. Mohan, the holder of 600 shares, failed to pay two calls and his shares were forfeited after the second call.

Of the shares forfeited, 800 shares were sold to Krishna credited as fully paid-up for ₹ 9 per share, the whole of Ramesh's shares being included. Pass Journal entries & show the Balance Sheet.

(Ans: Capital Reserve: ₹ 2,160; Balance Sheet Total: ₹ 2,40,360)

78. Dogra Ltd. had an authorized capital of ₹ 1,00,00,000 divided into Equity Shares of ₹ 100 each. The company offered 84,000 shares to the public at premium.

The amount was payable as follow:

On Application—₹ 30 per share

On Allotment—₹ 40 per share (Including premium)

On First and Final Call—₹ 50 per share

Applications were received for 80,000 shares. All sums were duly received except the following:

Lakhan, a holder of 200 shares did not pay allotment and call money.

Paras, a holder of 400 shares did not pay call money.

The company, forfeited the shares of Lakhan and Paras. Subsequently, the forfeited shares were reissued for ₹ 80 per share as fully paid-up. Show the entries for the above transactions in the Cash Book and Journal of the company.

(Ans: Capital Reserve: ₹ 14,000; Balance of Cash Book: ₹ 96,10,000)

79. D Ltd. offered to the public 20,000 Equity Shares of ₹ 10 each payable ₹ 4 on application, ₹ 2 on allotment, ₹ 2 on first call and the balance on final call. Applications received for 35,000 shares. Applications for 10,000 shares were rejected. Those totaling 15,000 shares were allotted 10,000 shares and the remaining applications were accepted in full. Excess application money was utilized towards the money due on allotment. Both the calls were made.

One shareholder holding 500 shares failed to pay the two calls and as a consequence his shares were forfeited. 200 of these shares were reissued as fully paid-up for as ₹ 6 per share.

Record the above in the company's Journal and Cash Book and prepare the Balance Sheet.

(Ans: Capital Reserve: ₹ 400)

80. Veer Ltd. invited applications for issuing 1,00,000 Equity Shares of ₹ 500 each at a premium of ₹ 100 per share. The amount was payable as:

On application	₹ 200 per share

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On allotment	₹ 300 per share (including premium)
On first and final call	balance of the amount

Applications for 2,00,000 shares were received. Applications for 50,000 shares were rejected and the application money was refunded. Pro rata allotment was made to the remaining applicants. Amount overpaid with application was adjusted towards sums due on allotment.
All calls were made and were duly received except the first and final call on 100 shares allotted to Vasu. These shares were forfeited. The forfeited shares were reissued to Ravi for ₹ 60,000 as fully paid-up.
Pass necessary Journal entries in the books of the company for the above transactions.
(Ans: Amount forfeited: ₹ 40,000; Capital Reserve: ₹ 40,000)

81. VSNL Ltd. invited applications for issuing 50,000 Equity Shares of ₹10 each. The amount was payable as follows:

On application	₹ 3 per share
On allotment	₹ 5 per share
On first and final call	the balance

Applications for 70,000 shares were received. Allotment was made to all applicants on pro-rata basis. Excess money received on application was adjusted towards sums due on allotment. Ramesh, who had applied for 700 shares, did not pay the allotment money and on his failure to pay the allotment money his shares were forfeited. Afterwards, the first and final call was made. Amar, who had been allotted 500 shares, did not pay the first and final call. His shares were also forfeited. Out of the forfeited shares 900 shares were reissued at ₹ 8 per share as fully paid-up. The reissued shares included all the shares of Ramesh. Pass necessary Journal entries for the above transactions in the books of the company.
(Ans: Amount due but not received from Ramesh on allotment: ₹ 1,900; Allotment money received later on: ₹ 1,88,100; Capital Reserve: ₹ 3,500)

82. XYZ Ltd. has been registered with an authorized capital of ₹ 2,00,000 divided into 2,000 shares of ₹ 100 each of which, 1,000 shares were offered for public subscription at a premium of ₹ 5 per share, payable as:

On application	₹ 10
On allotment	₹ 25 (including premium)
On first call	₹40
On final call	₹30

Applications were received for 1,800 shares, of which applications for 300 shares were rejected outright; the rest of the applications were allotted 1,000 shares on pro rata basis. Excess application money was transferred to allotment.
All the money was duly received except from Sundar, holder of 100 shares, who failed to pay allotment and first call money. His shares were later forfeited and reissued to Shyam at ₹ 60 per share ₹ 70 paid up. Final call has not been made.
Pass necessary Journal entries and prepare Cash Book in the books of XYZ Limited.
(Ans: Capital Reserve: ₹ 500)

83. A company issued for public subscription 50,000 Equity Shares of ₹ 10 each at a premium of ₹ 2 per share, payable as under:

On application	₹ 2 per share
On allotment	₹ 5 per share
On first call	₹ 2 per share
On final call	₹ 3 per share

Applications were received for 75,000 Equity Shares. The shares were allotted on pro rata basis to the applicants for 60,000 shares, the remaining applications being rejected. Money overpaid on applications was utilized towards sum due on allotment.

A, to whom 2,000 shares were allotted, failed to pay allotment and calls money and B, to whom 2,500 shares were allotted, failed to pay the two calls. These shares were, subsequently, forfeited after the final call was made. All the forfeited shares were reissued to X as fully paid-up @ ₹ 8 per share.
Pass Journal entries to record the above transactions.
(Ans: Capital Reserve: ₹ 8,300)

84. Applications were invited by the Directors of X Ltd. for 15,000 of its Equity Shares of ₹ 100 and at ₹ 115 per share payable as:
On application -1st April, 2023 - (including premium of ₹ 15 per share) ₹ 75;
On allotment - 30th April, 2023- ₹ 20 and
On first and final call - 31st May, 2023- ₹ 20
Applications were received for 18,000 shares and it was decided to deal with these as:
a) to refuse allotment to applicants for 800 shares,
b) to give full allotment to applicants for 2,200 shares,
c) to allot the remainder of the available shares on pro rata basis among the other applicants and
d) to utilize the surplus received on applications in part payment of amounts due on allotment.

An applicant, to whom 400 shares had been allotted, failed to pay the amount due on the first and final call and his shares were declared forfeited on 31st July, 2023. These shares were reissued on 3rd September, 2023, as fully paid-up @ ₹ 90 per share.
Pass Journal entries to record the above issue of shares.
(Ans: Capital Reserve: ₹ 28,000; Money adjusted with allotment: ₹ 1,65,000)

85. X Ltd. issued a prospectus inviting applications for 50,000 Equity Shares of ₹ 10 each, payable ₹ 5 as per application (including ₹ 2 as premium), ₹ 4 as per allotment and the balance towards first and final call.
Applications were received for 65,000 shares. Application money received on 5,000 shares was refunded with letter of regret and allotments were made on pro rata basis to the applicants of 60,000 shares. Money overpaid on applications including premium was adjusted on account of sums due on allotment. Mr. Sharma to whom 700 shares were allotted failed to pay the allotment money and his shares were forfeited by the Directors on his subsequent failure to pay the call money.
All the forfeited shares were subsequently sold to Mr. Jain credited as fully paid-up for ₹ 9 per share.
Pass Journal entries and show the relevant entries in the Cash Book.
(Ans: Capital Reserve: ₹ 2,100)

86. Bharat Tyres Ltd. invited applications for 1,00,000 Equity Shares of ₹ 10 each issued at a premium of ₹ 4 per share. The amount was payable as:
On application — ₹ 6 (including premium ₹ 2)
On allotment — ₹ 6 (including premium ₹ 2)
Balance on first and final call
Applications for 1,50,000 shares were received. Allotment was made to all the applicants on pro rata basis.
Subodh, to whom 200 shares were allotted, failed to pay allotment and call money. Vikram, to whom 100 shares were allotted, failed to pay the call money. Their shares were forfeited and afterwards reissued @ ₹ 8 per share as fully paid-up. Pass necessary Journal entries.
(Ans: Capital Reserve: ₹ 1,600)

87. XYZ Ltd. invited applications for issuing 50,000 Equity Shares of ₹ 10 each. The amount was payable ₹ as:

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On application	₹ 3 per share
On allotment	₹ 4 per share
On first and final call	₹ 3 per share

Applications were received for 75,000 shares and pro rata allotment was made as:
Applicants for 40,000 shares were allotted 30,000 shares on pro rata basis.
Applicants for 35,000 shares were allotted 20,000 shares on pro rata basis.
Ramu, to whom 1,200 shares were allotted out of the group applying for 40,000 shares, failed to pay the allotment money. His shares were forfeited immediately after allotment.
Shamu, who had applied for 700 shares out of the group applying for 35,000 shares, failed to pay the first and final call. His shares were also forfeited.
Out of the forfeited shares, 1,000 shares were reissued @ ₹ 8 per share as fully paid-up. The reissued shares included all the forfeited shares of Shamu.
Pass necessary Journal entries to record the above transactions.
(Ans: Money Received on Allotment: ₹ 1,21,400; Capital Reserve: ₹ 3,200)

88. A company issued for public subscription 40,000 Equity Shares of ₹ 10 each at a premium of ₹ 2 per share payable as:

On application	₹ 2 per share
On allotment	₹ 5 per share (including premium)
On first call	₹ 2 per share
On second call	₹ 3 per share

Applications were received for 60,000 shares. Allotment was made on pro rata basis to the applicants for 48,000 shares, the remaining applications being refused. Money overpaid on application was utilized towards sums due on allotment. Ram to whom 1,600 shares were allotted failed to pay the allotment money and Shyam to whom 2,000 shares were allotted failed to pay the two calls. These shares were subsequently forfeited after the second call was made. All the forfeited shares were reissued as fully paid-up @ ₹ 8 per share.
Give necessary Journal entries for the above transactions.
(Ans: Capital Reserve: ₹ 6,640)

89. Sintex Ltd. issued a prospectus inviting applications for 2,000 shares of ₹ 10 each at a premium of ₹ 2 per share, payable as:

On application	₹ 3 (including ₹ 1 premium)
On allotment	₹ 4 (including ₹ 1 premium)
On first call	₹ 3
On second and final call	₹ 2

Applications were received for 3,000 shares and pro rata allotment was made on the applications for 2,400 shares. It was decided to utilize excess application money towards the amount due on allotment. Rahul, to whom 40 shares were allotted, failed to pay the allotment money and on his subsequent failure to pay the first call, his shares were forfeited.
Rajesh, who applied for 72 shares failed to pay the two calls and, on such failure, his shares were forfeited. Of the shares forfeited, 80 shares were sold to Krishan credited as fully paid-up for ₹ 9 per share, the whole of Rahul's shares being included. Give Journal entries to record the above transactions (including cash transactions).
(Ans: Capital Reserve: ₹ 224)

90. Bharat Ltd. invited applications for issuing 2,00,000 Equity Shares of ₹ 10 each. The amount was payable as: On application ₹ 3 per share, on allotment ₹ 5 per share and on first and final call ₹ 2 per share. Applications for 3,00,000 shares were received and pro rata allotment was made to all the applications on the following basis:
Applicants for 2,00,000 shares were allotted 1,50,000 shares on pro rata basis.
Applicants for 1,00,000 shares were allotted 50,000 shares on pro rata basis.

Bajaj, who was allotted 3,000 shares out of group applying for 2,00,000 shares failed to pay the allotment money. His shares were forfeited immediately after allotment. Sharma, who had applied for 2,000 shares out of the group applying for 1,00,000 shares failed to pay the first and final call. His shares were also forfeited. Out of the forfeited shares 3,500 shares were reissued as fully paid-up @ ₹ 8 per share. The reissued shares included all the forfeited shares of Bajaj. Give necessary Journal entries to record the above transactions.
(Ans: Capital Reserve: ₹ 9,000)

91. The Directors of Super Star Ltd. invited applications for 2,00,000 Equity Shares of ₹ 10 each to be issued at 20% premium. The money payable per shares was: on application ₹ 5, on allotment ₹ 4 (including premium of ₹ 2), first call ₹ 2 and final call ₹ 1.
Applications were received for 2,40,000 shares and allotment was made as:
a) to applicants for 1,00,000 shares—in full,
b) to applicants for 80,000 shares—60,000 shares,
c) to applicants for 60,000 shares—40,000 shares.
Applicants of 1,000 shares falling in Category (a) and applicants of 1,200 shares falling in Category (b) failed to pay allotment money. These shares were forfeited on failure to pay first call. Holders of 1,200 shares falling in Category (c) failed to pay the first and final call and these shares were forfeited after final call.
1,300 shares [1,000 of Category (a) and 300 of Category (b)] were reissued at ₹ 8 per share as fully paid-up. Journalize the above transactions and prepare Cash Book and Balance Sheet.
(Ans: Amount forfeited: ₹ 11,000 (for Categories i and ii) + ₹ 8,400 (Category iii) = ₹ 19,400; Capital Reserve: ₹ 4,400; Actual amount received on allotment: ₹ 5,93,900; Securities Premium Reserve: ₹ 3,96,200; Paid-up capital: ₹ 19,94,400; Balance Sheet Total: ₹ 23,95,000)

92. XYZ Ltd. issued a prospectus inviting applications for 2,000 shares of ₹ 10 each at a premium of ₹ 4 per share, payable as:

On application	₹ 6 (including ₹ 1 premium)
On allotment	₹ 2 (including ₹ 1 premium)
On first call	₹ 3 (including ₹ 1 premium)
On second and final call	₹ 3 (including ₹ 1 premium)

Applications were received for 3,000 shares and pro rata allotment was made on the applications for 2,400 shares. It was decided to utilize excess application money towards the amount due on allotment. X, to whom 40 shares were allotted, failed to pay the allotment money and on his subsequent failure to pay the first call, his shares were forfeited.
Y, who applied for 72 shares failed to pay the two calls and on his such failure, his shares were forfeited.
Of the shares forfeited, 80 shares were sold to Z credited as fully paid-up for ₹ 9 per share, the whole of Y's shares being included. Prepare Journal, Cash Book and the Balance Sheet.
(Ans: Capital Reserve: ₹ 400; Balance Sheet Total: ₹ 28,088)

93. Ganesh Ltd. issued a prospectus inviting applications for 20,000 shares of ₹ 10 each at a premium of ₹ 4 per share, payable as follows:

On Application	₹ 4 (including premium 1)
On Allotment	₹ 3 (including premium 1)
On First Call	₹ 3 (including premium 1)
On Second and Final Call	₹ 4 (including premium 1)

Applications were received for 30,000 shares and pro-rata allotment was made or the applications for 24,000 shares. It was decided to utilize excess application money towards the sums due on allotment.
X, who was allotted 500 shares, failed to pay the allotment money and on his subsequent failure to pay the first call, his shares were forfeited.

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Y, who applied for 1,800 shares, failed to pay the two calls and his shares were forfeited after the second call.
Of the shares forfeited, 1,700 shares were re-issued as fully paid up for ₹ 8 per share, the whole of Y's shares being included. Prepare Cash Book, Journal and Balance Sheet.
(Ans: Bank Balance: ₹ 2,78,500; Amount received on allotment: ₹ 42,900; Share Forfeiture A/c: ₹ 1,140; Capital Reserve: ₹ 4,860; Securities Premium A/c: ₹ 75,500)

Employee Stock Option Plan (ESOP)

94. ABC Ltd. has 100 employees. On 1st April, 2020, the company entered into an agreement with the employees whereby each employee was granted 100 options subject to their completing 3 years of continuous service. The fair value of the share as on 1st April, 2020 was ₹ 100 and it was agreed that it shall be offered at ₹ 70. It was also agreed that an employee could exercise the option within three months of meeting the terms of the agreement. You are to determine the following:
(a) Grant Date; (b) Vesting Period; (c) Vesting Date;
(d) Exercise Period; (e) Exercise Date; (f) Exercise Price;
(g) Value of Option.
(Ans: (a) 1st April, 2020; (b) 3 years from 1st April, 2020 (c) 31st March, 2023; (d) Three Months from 31st March, 2023; (e) 30th June, 2023; (f) ₹ 70; (g) ₹ 30)

95. DEF Ltd has 200 employees. On 1st April, 2020 the company entered into an agreement with employees and agreed to grant 50 options each on the condition that they complete 3 years of continuous service. Naresh joined the company on 1st July, 2020. Determine whether he will be eligible to exercise option on 31st March, 2023. Give reasons.
(Ans: No, because he has not completed 3 years of service)

96. XYZ Ltd. has 300 employees. The company entered into an agreement with its employees on 1st April, 2021 and granted options to subscribe 75 options each on completion of 3 years of service. Ashish resigned from the company on 30th September, 2023. Will he be eligible to subscribe the options? Give reason.
(Ans: No, because he did not complete 3 years of service)

97. ABC Ltd. granted options to its 200 employees to subscribe 200 equity shares of ₹ 10 each after 4 years from the grant date. Fair (Market) value of each share is ₹ 110 whereas the offer price (exercise price) is ₹ 80. All the 200 employees exercised the option paying ₹ 80 per share by the exercise date. Pass necessary Journal entries.

98. XYZ Ltd. granted options to its 300 employees to subscribe 300 equity shares of ₹ 10 each after 3 years from the grant date. Fair (Market) value of each share is ₹ 25 and the offer (exercise) price is ₹ 15. All the employees except 50 exercised the option by the exercise date. Pass necessary Journal entries.

99. A Company has its share capital divided into shares of ₹ 10 each. On 1st April, 2021 it granted 10,000 employees stock options at ₹ 40, when the market price was ₹ 130. The options were to be exercised between 16th December 2022 and 15th March 2023. The employees exercised their options for 9500 shares only; the remaining options lapsed. The company closes its books on 31st March every year. Pass necessary Journal entries.

100. ABC Ltd grants 1,000 employees stock options on 01.04.2020 at ₹ 40, when the market price is ₹ 160. The vesting period is 2.5 years and the maximum exercise period is one year. 300 unvested options lapse on 01.05.2022. 600 options are exercised on 30.6.2023. 100 vested options lapse at the end of exercise period. The company closes its books on 31st March every year. Pass necessary Journal entries.

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